

be nonrepresentative, either because they resulted from definitely temporary conditions, favorable or the reverse, or because they were presented in such a way as not to reflect the true income. These conditions are particularly likely to occur in the case of industrial companies, which are subject both to greater individual vicissitudes and to a smaller degree of accounting supervision than is true of railroads and utilities.

Shareholders' Equity Measured by Market Value of Stock Issues—a Supplemental Test. We feel, therefore, that it is essential, in the case of industrial bonds at least, to supplement the earnings test by some other quantitative index of the margin of going-concern value above the funded debt. The best criterion that we are able to offer for this purpose is the ratio of the market value of the capital stock to the total funded debt. Strenuous objections may, of course, be leveled against using the market price of stock issues as a proof of anything, in view of the extreme and senseless variations to which stock quotations are notoriously subject. Nevertheless, with all its imperfections, the market value of the stock issues is generally recognized as a better index of the fair going value of a business than is afforded by the balance-sheet figures or even the ordinary appraisal.¹

Note carefully that we are proposing the use of stock prices for the restricted purpose only of ascertaining whether or not a substantial equity exists behind the bond issue. This is by no means tantamount to stating that the price is always an exact measure of the fair or intrinsic value. The market-price test is suggested as a rough index or clue to the existing values, and it is to be employed only as a supplement—but an important supplement—to the more carefully scrutinized figures supplied by the earnings record.²

¹ The liquidating value, arising chiefly from the net current assets, may at times exceed the market price, but this point is seldom of significance in the selection of *high-grade investments*.

² Note that the tests of safety suggested by the New York State Bankers Association, in collaboration with Standard Statistics Company, include in the case of railroad and industrial bonds the market price of the stock equity, designated as the “most realistic measure of debt position”—*i.e.*, of the value of the junior capital. See our more detailed discussion of these tests in Appendix Note 22.